

In bear markets, we see the reverse. As the breakout price rises from the lowest third to the highest, performance decreases so that the lowest third has the best performance.

This is one of the reasons I suggest that if you short a stock, do so from patterns near the yearly low, not the yearly high.

**Throwbacks.** A throwback occurs in about two out of three trades, and it takes 12 days (on average) for the stock to return to the breakout price. When a throwback occurs, performance suffers.

For example, in bull markets, the average rise when a throwback happens is 44%. Without a throwback, the rise averages 48%. That's not because I'm looking at few samples, either (I used 2,549 in the test).

We've seen this kind of behavior in other chart pattern types, too.

After a throwback completes, the good news is that price resumes rising more than 66% of the time (on average).

**Gaps.** Gaps help performance, but not by a lot. To find this, I used the opening price the day *after* a gap as the buy price and measured the rise to the ultimate high. So if you didn't own the stock as it gapped up, you can still buy and participate in the better performance. Given that the percentages are close together, you probably won't notice the difference. You have to trade it perfectly and often, too.

Good luck with that.

[Table 67.5](#) shows pattern size statistics.

**Height.** Tall patterns significantly outperform short ones. This is the kind of performance difference I like to see! In fact, height is the best indicator of future performance (for most chart patterns).

To use this finding, compute the height of the triple bottom from tallest peak to lowest valley (in the pattern). Divide the height by the breakout price (the tallest peak). If the result is above the median shown in the table, then you have a tall pattern. That's when you can break into song and tell the world that you've found a tall triple bottom.

**Width.** Wide patterns perform better than narrow ones. The performance difference isn't as big as for height, but it's there. I used the median length